

**BEFORE THE FEDERAL MARITIME COMMISSION
WASHINGTON, D.C.**

20230930-DK-BUTTERFLY-1, INC.

FMC Docket No. 25-01

Complainant,

vs.

BAL CONTAINER LINE CO., LIMITED,

Respondent

DECLARATION OF LIU QINGZHI

I, Liu Qingzhi, declare as follows:

1. I am the Manager of the Fleet Operations Department of Bal Container Line Co., Limited, (“Bal”), Respondent in this proceeding. I have been employed by Bal since April 2020. If called upon as a witness I could and would competently testify to the matters set forth herein.

2. Bal is in the business of international shipping. Unlike other large ocean carriers, Bal did not have any direct carriage contract or service contract with Complainant 20230930-DK-BUTTERFLY-1, INC. (“BBBY”). Upon information and belief, all BBBY’s cargo was imported by its NVOCCs who then found the Chinese NVOCCs to book space from Bal.

3. Bal does not generally deal face-to-face with its customers. Email communication has been and continues to be the nearly-exclusive means of communication between Bal and its customers. Any communication between Bal and BBBY, if it exists, would necessarily be in the form of email communications.

4. Bal presently employees approximately 28 employees. During 2021-2022 Bal employed approximately 35 employees.

5. Many of Bal's employees do not work exclusively for Bal. They work for Bal and any number of Bal's affiliated companies.

6. Based on my understanding of Bal's email system and information provided by the information technology department that services Bal's email service, Bal does not have the ability to run email searches across the entire Bal email system. The only way they know of for search terms to be searched in Bal email boxes is for individual custodians to search their own email boxes.

7. I performed a manual search within my Bal email using the following terms: "Bed Bath", BBB, BBBY, Bedbath and Bedbath&beyond. I did not locate any emails containing these terms.

8. To my present knowledge, Bal has not communicated with anyone directly at BBBY except for communications in 2023 and 2024 wherein BBBY and its counsel demanded refunds from Bal.

9. When Bal works with booking agents and third parties to book space on Bal's vessels, the communications generally do not reference the underlying shipper.

10. Bal's house bills of lading are issued by its affiliate Ningbo Burnasia International Logistics Co., Ltd and generally do not reference the underlying shipper. Attached hereto as **Exhibit A** is a true and accurate copy of a Bal bill of lading issued by Ningbo Burnasia International Logistics Co., Ltd. which included cargo owned by BBBY. BBBY is not listed on the bill of lading. I was only able to determine that BBBY cargo was covered by the bill of lading attached at **Exhibit A** after BBBY provided an Excel sheet identifying dates and container

numbers for its cargo. Absent this identifying information from BBY, I would have no way of knowing that this bill of lading pertained to BBY.

11. Based on my understanding of Bal's customer communications, which generally do not reference the underlying shipper, and the failure of my manual search to turn up any emails containing "Bed Bath", BBB, BBY, Bedbath or Bedbath&beyond, it is my opinion that a third party vendor's search across all emails at Bal for communications with BBY would not turn up any communications between Bal and BBY.

12. Once containers landed on the dock of the terminal on the West Coast, Bal had no control over the flow of containers.

13. As a Vessel Operating Common Carrier, Bal is not privy to all the details regarding the flow of containers at the terminal in the same way that the terminal operator is. Any attempt by Bal to describe "any issues affecting the flow of containers" would necessitate speculation on my behalf and require multiple pages of information.

14. The persons with the most fulsome knowledge regarding Bal's detention and demurrage practices are: myself, Parker Zhu, Cathy Sun, Zoe Zhou, and Serena Gao.

15. Typically, when a Bal vessel was approaching a terminal, Bal's agent, Norton Lilly, would inform the client listed on the bill of lading that the container was nearing the time for pickup. Based on my understanding of Bal's bills of lading, Bal was not listed as the customer on these bills of lading.

16. Upon information and belief, after Norton Lilly informed a consignee that their container was nearing the time for pickup, the consignee would process the container with customs, and appoint a trucking company to pick up the container. Upon information and belief, that trucking company was then required to make an online appointment with the terminal for

pickup, based on each terminal's own practice and/or regulations. The window of availability was left to the discretion of the terminal and its interactions with the trucking company.

17. There are a host of reasons for why a container may have been picked up promptly or left on the dock, none of which are within the control of Bal.

18. Before BBY sent the Excel spreadsheet to Bal that showed, on a container-by-container basis, the time each container spent at the terminal before it was picked up from the terminal, Bal did not have easy access to this “dwell time” data. I presume that BBY obtained this data from its freight broker(s) or from a terminal(s) or some combination of the two.

19. Bal is not in the business of operating a cargo terminal. Bal does not regularly maintain dwell time data.

20. The terminals collect demurrage fees, from trucking companies, for dwell time on Bal’s behalf, take a percentage of those fees as a collection fee, and remit the remainder to Bal. Bal’s local agent collects detention fees for Bal, from trucking companies.

21. On some occasions, the terminal provides Bal with dwell time data to confirm the accuracy of the monies collected by the terminal, but this information is not limited to containers with BBY cargo. Bal does not have a practice of collecting, organizing, or storing this data.

22. Customer complaints regarding detention and demurrage that are not resolved by Bal, in consultation with its local agent, are escalated to the Bal legal department.

I declare under penalty of perjury under the laws of the United States that the foregoing is true and correct.

Executed this 29th day of April, 2025, at Shang hai, China.

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Liu Qingzhi

EXHIBIT A

BILL OF LADING

SHIPPER/EXPORTER(COMPLETE NAME AND ADDRESS) SINPEX CONNECTION LOGISTICS (NINGBO) LIMITED ROOM 1806,18/F,NINGBO GLOBAL SHIPPING SQUARE,269 NING DONG ROAD,YINZHOU DISTRICT, NINGBO,ZHEJIANG PROVINCE,CHINA.315000 TEL.:0574 87293429		BOOKING NO. 28NGLA0374	BILL OF LADING NO. NB21070787
		EXPORT REFERENCES	
CONSIGNEE NAME/ADDRESS(NOT NEGOTIABLE UNLESS CONSIGNED TO ORDER) APEX LOGISTICS INTERNATIONAL (LAX), INC. 18554 S. SUSANA ROAD RANCHO DOMINGUEZ CA ,90221 USA TEL: 1-310 665-0288 FAX: 1-310 665-0188 EMAIL: OCEAN-LAX@APEXGLOBE.COM		FORWARDING AGENT, F M C NO.	
		POINT AND COUNTRY OF ORIGIN OF GOODS	
NOTIFY PARTY(COMPLETE NAME AND ADDRESS) SAME AS CONSIGNEE		FOR DELIVERY PLEASE APPLY TO: NATIONAL CARGO SERVICE 2225 W. COMMONWEALTH AVE, SUITE 311 ALHAMBRA CA 91803 PIC:ARLENA CHEN EMAIL: ARLENAC@NATIONALCARGOSERVICE.NET	
PRE-CARRIAGE BY:	PLACE OF RECEIPT BY PRE -CARRIER NINGBO,CHINA	CONTAINER	FILE #
VESEL AS CONSTANTINA V.2130E	PORT OF LOADING NINGBO,CHINA	LOADING PIER/TERMINAL	
PORT OF DISCHARGE LOS ANGELES, USA	PLACE OF DELIVERY BY ON CARRIER LOS ANGELES, USA	NUMBER OF ORIGINALS	

PARTICULARS FURNISHED BY SHIPPER				
MARKS & NOS/CONTAINER NOS.	NO. OF PKGS	DESCRIPTION OF PACKAGES AND GOODS	GROSS WEIGHT	MEASUREMENT
N/M	4925CTNS	SHIPPER'S LOAD COUNT & SEAL SAID TO CONTAIN: 100% POLYESTER BLANKET	29464.00KGS	253.600CBM
BURU6642366/BAL207585/1080CTNS/7452KGS/65.39CBM BURU6644733/BAL204345/1240CTNS/7688KGS/64.60CBM BURU6642807/BAL204379/1181CTNS/7539.20KGS/64.15CBM BURU6644440/BAL204341/1424CTNS/6784.80KGS/59.46CBM		COPY	TELEX	
4 × 40HQ				CY-CY
		THIS SHIPMENT CANTAINS NO WOODEN PACKING MATERIALS SAY TOTAL FOUR THOUSAND NINE HUNDRED AND TWENTY-FIVE CTNS ONLY	FREIGHT COLLECT	
TOTAL NUMBER OF PACKAGES		NON-NEGOTIABLE		
		These commodities, technology, or software were exported from the United States in accordance with the export administration regulations. Diversion contrary to U.S. law prohibited.		

The declared value of the GOODS is \$ 4925C1NS **AES:**
 If the MERCHANT enters the actual value of the GOODS and pays the applicable ad valorem rate, the CARRIER'S PACKAGE limitation will not apply. (See Clause 21 on the next page)

CHARGES, INCLUDING FREIGHT	BASIS	RATE	PREPAID	COLLECT
THE RECEIPT, CUSTODY, CARRIAGE AND DELIVERY OF THE GOODS ARE SUBJECT TO THE TERMS APPEARING ON THE FACE AND BACK HEREOF AND TO CARRIER'S APPLICABLE TARIFF OR SERVICE			TOTAL	TOTAL

Where applicable law requires and not otherwise, one original BILL OF LADING must be surrendered, duly endorsed, in exchange for the GOODS or CONTAINER(S) or other PACKAGE(S), the others stand void. If a "Non-Negotiable" BILL OF LADING is issued, neither an original nor a copy need be surrendered in exchange for delivery unless applicable law so states.

NINGBO BURNASIA
As Carrier
By:

Receipt for
Shipment Date:

Sail Date:

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 29th day of April, 2025, a true and correct copy of the foregoing **DECLARATION OF LIU QINGZHI** was served via electronic mail on:

Karl C. Huth

huth@huthreynolds.com

Matthew J. Reynolds

reynolds@huthreynolds.com

J. Zachery Morris

zmorris@huthreynolds.com

Mohini P.B. Rarrick

mpriya@huthreynolds.com



Ileen Osorio